NATIONAL FOODS

Financial Accounting project

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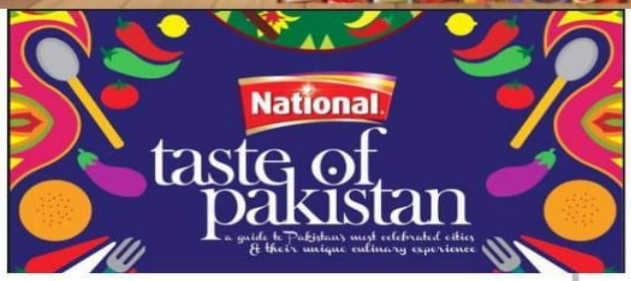

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INTRODUCTION OF THE COMPANY:

National Foods Limited (NFL) is a leading Pakistani food company founded in 1970 in Karachi by Abdul Majeed. Initially a spice company, NFL has expanded into manufacturing recipe mixes, sauces, pickles, and ready-to-eat meals. Listed on the Pakistan Stock Exchange (PSX) under the ticker NATF, NFL exports to over 40 countries and is a key player in the Food and Personal Care Products sector. The company's mission is to simplify and enhance everyday cooking through high-quality products.

FINANCIAL STATEMENTS :

RATIO	2020	2021	2022	2023	2024
Working capital	*1,425,875*	*1,813,906*	*923,710*	*4,122,294*	*4,932,026*
Current ratio	*1.21*	*1.17*	*1.06*	*1.21*	*1.25*
Debt to assets (%)	*60.0%*	*64.1%*	*65.0%*	*39.8%*	*68.9%*
Net profit margin (%)	*5.7%*	*5.7%*	*6.0%*	*5.9%*	*3.2%*

INTERPRETATION OF FINANCIAL REPORT:

Ratio Analysis (2020-2024)

Liquidity Ratios:

- Current Ratio:

  Improved from 1.06 (2022) to 1.25 (2024), indicating better short-term solvency.

- Working Capital:

  Increased by 19.6% in 2024, reflecting stronger liquidity.

Profitability Ratios:

- Net Profit Margin:

  Declined to 3.2% in 2024 (from 5.9% in 2023) due to rising costs (e.g., finance costs up 124%).

- Return on Assets (ROA):

  Dropped to 6.6% (2024) from 11.5% (2023), signaling lower efficiency in asset utilization.

Solvency Ratios:

- Debt to Assets:

  Surged to 68.9% in 2024 (from 39.8% in 2023), indicating higher financial risk.

Operational Efficiency:

- Inventory Turnover:

  Slowed to 4.39 (2024) from 4.80 (2023), suggesting potential overstocking.

Horizontal Analysis

Balance Sheet Highlights

- Total Assets:

Increased by 15.6% (Rs. 6.09 billion), driven by property, plant, and equipment (+34.5%).

- Total Liabilities:

Rose by 67.2% (Rs. 4.7 billion), primarily due to long-term borrowings.

Income Statement Highlights

- Sales:

Grew by 34.3% (Rs. 22.05 billion), but net profit fell by 26.3% (Rs. 999 million) due to higher expenses.

Vertical Analysis (2023-2024)

- Current Assets:

Decreased to 54.0% of total assets (2024) from 59.6% (2023), indicating a shift toward long-term investments.

- Equity:

Declined to 31.1% (2024) from 33.1% (2023), reflecting increased reliance on debt.

- Cost of Sales:

Rose to 72.7% of revenue (2024) from 71.7% (2023), squeezing gross profit margins.

Conclusion and Recommendations

Strength:

Improved liquidity, strong sales growth.

Weaknesses:

Declining profitability, rising debt levels.

Recommendations:

1. Cost Control: Address rising finance and administrative expenses.
2. Inventory Management: Optimize stock levels to improve turnover.
3. Debt Management: Refinance high-cost borrowings to reduce interest burdens.

National Foods Limited remains a market leader, but strategic adjustments are needed to sustain profitability and financial stability.

Executive Summary

This report analyzes NFL's financial performance from 2020 to 2024 using:

- Ratio Analysis:

Liquidity, profitability, and solvency metrics.

- Horizontal Analysis:

Year-over-year changes in financial statements.

- Vertical Analysis:

Proportional composition of financial statements.